VA Servicing Purchase – Bankruptcy Testing Template

December 2024 operational risk testing | Population: mortgage accounts flagged for bankruptcy

Testing purpose. Assess servicer compliance with the bankruptcy-related VASP requirements in VA Servicer Handbook M26-4, Chapter 9. Use the bracketed fields in each exception statement to record the loan-specific facts and select only the applicable finding. Reference edition: Chapter 9 dated August 12, 2024.

01 Bankruptcy filed during VASP TPP

Test question

For a bankruptcy-flagged account in which a borrower filed bankruptcy during a VASP Trial Payment Plan (TPP), did the servicer (i) for a Chapter 13 filing, provide evidence of the bankruptcy court's approval or acquiescence to the VASP, or (ii) for a Chapter 7 filing, refrain from treating the borrower as eligible for VASP until the bankruptcy proceedings were closed?

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a) (August 12, 2024).

Exception statement

For loan [loan/account ID], review found that the borrower filed a [Chapter 13 / Chapter 7] bankruptcy during the VASP TPP. The servicer [did not provide evidence of the bankruptcy court's approval or acquiescence to the VASP / proceeded with VASP before the Chapter 7 bankruptcy proceedings were closed]. Accordingly, the servicer did not meet the applicable bankruptcy-related requirement for the VASP process under VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a). [Document the relevant event date, status, missing evidence, and resulting disposition.]

02 Chapter 7 discharge language in VASP modification

Test question

Where the borrower's VA-guaranteed loan debt was discharged through a Chapter 7 bankruptcy, did the servicer include in the VASP loan modification document the full statement prescribed by the Handbook addressing discharged personal liability and clarifying that the modification is not an affirmation of the discharged debt or an attempt to collect it?

Citation: VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3) (August 12, 2024).

Exception statement

For loan [loan/account ID], the borrower's VA-guaranteed loan debt had been discharged through a Chapter 7 bankruptcy; however, the VASP loan modification document dated [date] did not include the full statement prescribed by VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3). The modification documentation therefore failed to include the required language addressing discharged personal liability and clarifying that the modification is not an affirmation of, or an attempt to collect, the discharged debt. [Identify the omission or deviation and document the evidence reviewed.]

Template use: An exception should be reported only when the sampled facts support the stated failure. If no applicable Chapter 7 discharge or bankruptcy filing during the TPP is present, document the item as not applicable under the bank's testing methodology.